This is why the experts suggested for the provision of **micro insurance.** A relatively new concept, micro insurance is today provided to the beneficiaries of the micro finance covering the finance amount, reducing the risk of the clients as well as the micro finance institutions (MFIs)[15]. The concept of micro insurance has been developed by the private insurance company Aviva Life Insurance (in partnership with MFIs) which has forged alliances with banks like Canara Bank, P&SB, RRBs, 23 cooperatives, etc. to promote micro finance.

Micro insurance has evolved in the past two decades of research in micro finance and has seen growth in countries like Sri Lanka, Philippines in the last decade[16]. Here NGOs and people's organisations are allowed to register themselves as micro insurance companies which sell such insurance. As they cover the risk themselves, they are allowed to ***reinsure*** with one of the large global companies like Swiss Re or Munich Re. Same model is suggested for India but for this to happen drastic changes in the existing insurance rules are required[17].

5. Many of the experts believe that insurance industry should benefit the insurers, reinsurers as well as the insured. The ***social purpose*** of the insurance sector is never praiseworthy to be marginalised by the corporate interests (be domestic or foreign)—at least it does never taste good in India which needs a strong social safety net.[18]
6. Almost all of the private insurance companies in India have been demanding that the government-owned insurance companies (i.e. LIC and the four general insurance companies) should be converted into private sector companies. Their reasons are logical as in comparison with the government-owned insurance companies, private companies are always ready with highly attractive and lucrative insurance schemes but they have not been able to attract the clients for them. Therefore, the private insurance companies have been fetching huge operational losses due to lack of the desired level of their expansion and the overhead expenditure.[19]

Insurance Penetration